



KEY FEASIBILITY and OPERATING RATIOS

POLICY 4 - 2

PURPOSE: To provide guidelines on key feasibility and operating ratios.

POLICIES:

1. The bases for key performance ratios:

- a. $\text{INVESTMENT PER CONSUMER} = \text{utility plant} / \text{number of consumers}$
- b. $\text{EARNING POWER} = \text{operating revenue} / \text{utility plant in service}$
- c. $\text{POWER COST RATION} = \text{total operating expense} / \text{operating ratio}$
- d. $\text{POWER COST RATIO} = \text{power cost} / \text{operating revenue}$
- e. $\text{OPERATING RATIO less POWER COST} = \frac{\text{total operating revenue} - \text{power cost}}{\text{operating revenue}}$
- f. $\text{MARGIN RATIO} = \frac{\text{operating revenue} - \text{operating exp}}{\text{operating revenue}}$
- g. $\text{CASH RATIO} = \text{cash on hand} / \text{monthly operating expense}$
- h. $\text{CURRENT RATIO} = \text{current assets} / \text{current liabilities}$
- i. $\text{NET WORTH} = \text{net worth} / \text{total assets}$
- j. $\text{DEPRECIATED RESERVE} = \text{depreciation reserve} / \text{utility plant in service}$

2. The bases of Operation Ratios:

- a. $\text{SYSTEMS LOSS} = \frac{\text{total KWH generated-purchased} - \text{total KWH billed}}{\text{total KWH generated} / \text{purchased}}$
- b. $\text{COST OF POWER PER KWH} = \frac{\text{power cost}}{\text{total KWH generated/purchased}}$
- c. $\text{COLLECTION} = \frac{\text{total billings} - \text{total collection}}{\text{total billings}}$
(result as billing not collected)
- d. $\text{ADMIN. \& GEN. EXPENSE} = \frac{\text{admin \& gen expense}}{\text{operating revenue}}$
- e. $\text{OPERATION \& MAINTENANCE EXPENSE RATIO} =$



KEY FEASIBILITY and OPERATING RATIOS

POLICY 4 - 2

consumer accounts expense / operating revenues

- f. CONSUMER ACCOUNTS EXPENSE RATIO = consumer accounts expense ratio / operating revenues
- g. POWER COST AS SHARE of TOTAL COST = power cost / total operating expense
- h. AGING ACCOUNTS RECEIVABLES
 - 1. Operating Revenue (per month) / 30 = average revenue per day
 - 2. Accounts Receivable at the end of the month / average revenue per day =
Aging number of day in arrears or uncollected billings
- i. AGEING OF ACCOUNTS PAYABLE
 - 1. Total Operating Expense (per month) / 30 = average expense per day =
 - 2. Accounts Payable (at the end of the month)
average expense per day = ageing (number of days in arrears on unpaid bills)

IMPLEMENTATION:

The General Manager shall be responsible for the implementation of this policy.

(SGD) MANUEL E. GONZALES
President

(SGD) ABUNDIO M. AWAL
Secretary